WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

BOTSWANA

Africa

Information current as of October 2026

Dialogue | Trust | Partnership

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Gaborone	Capital and commercial centre; home to the Fairgrounds financial-services SEZ and the Sir Seretse Khama International Airport SEZ for diamond beneficiation, logistics and pharmaceuticals	Financial services, BPO, logistics, diamond beneficiation
Jwaneng and Orapa (Debswana mines)	World-class diamond operations whose higher processing volumes and grades drove a 94.7% rise in diamond output in Q2 2026	Diamond mining, mining services, beneficiation
Kalahari Copper Belt (North-West and Ghanzi districts)	Emerging copper province; MMG approved a $936 million Khoemacau expansion in December 2025 to lift output to 130,000 tonnes a year by 2028, alongside Sandfire's Motheo mine	Copper and silver mining, mining services, power and water
Francistown	Northern city designated as a mining and logistics hub SEZ serving the north-east and regional trade routes	Logistics, mining supplies, distribution
Palapye	Energy-focused SEZ built around coal beneficiation, power generation and renewable energy	Power generation, solar and renewables, coal beneficiation
Pandamatenga (north) and Lobatse (south)	Agricultural SEZs: Pandamatenga covers 97,607 hectares of integrated agro-production, while Lobatse is positioned as a meat and leather city	Agribusiness, meat and leather processing, dairy
Kazungula (Zambia border)	Road-and-rail bridge to Zambia, opened in May 2021 at a cost of $259.3 million, linking Botswana northwards into regional trade	Cross-border trade, transport and logistics

INVESTOR ENTRY ROUTES

- Botswana Investment and Trade Centre (BITC), the national investment and export promotion agency, with accreditation services and the Botswana One Stop Service Centre (BOSSC) for investor facilitation
- No foreign exchange controls: profits, dividends and capital can be repatriated freely
- International Financial Services Centre (IFSC) accreditation, offering a 15% corporate tax rate, no withholding tax on dividends, interest, royalties or management fees, and access to the double-taxation treaty network

- Special Economic Zones Authority (SEZA), overseeing eight sector-focused zones from financial services in Gaborone to agro-processing in Pandamatenga and energy in Palapye
- Tax incentives including a 22% standard corporate rate, a 15% rate for approved manufacturers, a negotiable tax holiday of up to ten years, duty rebates on machinery and inputs, and a 200% training rebate
- Mining-sector participation through the Debswana partnership with De Beers and the Okavango Diamond Company, and through copper and other mineral licences in the Kalahari Copper Belt
- National Development Plan 12 (to 2030) and the Botswana Economic Transformation Programme, which prioritise agribusiness, healthcare, renewable energy and technology

MARKET-ENTRY OBSERVATION

Botswana in October 2026 is returning to growth on the back of a diamond recovery and a broadening reform agenda. Real GDP grew 8.7% year-on-year in Q2 2026, the fastest pace since 2021, after 3.5% in Q1 and contractions of 2.8% in 2024 and 0.4% in 2025; diamond output rose 94.7% in the quarter, and services such as professional activities, hospitality and trade grew by more than 3%. The BITC facilitated P14.9 billion of investment in the 2025 financial year, including P5.52 billion of FDI against a P5 billion target, led by tourism and energy, and MMG's $936 million Khoemacau expansion underlines interest in copper. UNCTAD records net FDI of minus $654 million in 2025, while announced greenfield projects rose to 11 worth $938 million. Inflation eased to 7.8% in September 2026 from 10.7% in June after the Bank of Botswana raised its policy rate to 5.5% in April, and S&P affirmed Botswana's investment-grade rating (BBB-) in September 2026.

Botswana's main structural challenge is its reliance on diamonds, which provide about 70% of exports, a third of fiscal revenue and a quarter of GDP, at a time of soft global demand and competition from lab-grown stones. The country is responding from a position of institutional strength: foreign reserves have recovered to P63.2 billion (about $4.4 billion) in July 2026, their highest level since July 2024, with 7.3 months of import cover in Q1 2026, and the 2026/27 budget deficit has been revised down to 3.1% of GDP from the 8.9% forecast in February. The agreement in principle with De Beers extends Debswana's licences to 2054, raises the state-owned Okavango Diamond Company's share of output from 30% to 50% over ten years and creates a Diamonds for Development fund of up to $750 million, while Botswana is reported to be close to raising its 15% stake in De Beers to about 25% as Anglo American sells the company. Together with copper growth and the diversification priorities of NDP 12, these measures give investors a widening set of entry points beyond diamonds.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Concentration on diamonds	Diamonds account for about 70% of exports and a third of fiscal revenue, so the economy moves with the global diamond cycle	Diversification under NDP 12 and growing copper output create openings in agribusiness, energy, technology and mining services
Global diamond demand and De Beers ownership change	Soft demand and lab-grown competition have weighed on prices, and Anglo American is selling De Beers to a consortium in which Botswana expects a larger stake	A greater state share of Debswana output and a long licence horizon to 2054 support supply stability; monitor the sale and its terms
Fiscal pressure and credit ratings	S&P rates Botswana BBB- with a negative outlook, and Moody's cut it to Baa1 in October 2025, citing diamond-linked revenue pressure	The rating remains investment grade, and the 2026/27 deficit has been revised down to 3.1% of GDP; track consolidation progress
Inflation and interest rates	Inflation of 7.8% in September 2026 remains above the 3–6% objective after fuel and electricity price rises, and the policy rate stands at 5.5%	Inflation is easing and is projected to return to range by Q1 2027; factor local borrowing costs into financing plans
Citizen-reserved activities and state-owned sectors	Some activities are reserved for citizen-owned firms, such as part of petroleum imports, key utilities remain state-owned, and equal treatment of foreign investors is not guaranteed in law	Take local legal advice early and consider partnerships with citizen-owned firms where rules apply

Issue	Potential Impact	Possible Mitigation
Landlocked geography and infrastructure	Distance from ports and gaps in power, water and digital connectivity add to costs	The Trans-Kalahari Corridor to Walvis Bay, the Kazungula Bridge and the Palapye energy SEZ offer routes and investment opportunities in infrastructure
Skills and operating costs	Skilled labour is limited and production costs are relatively high for a small domestic market	Use the 200% training rebate and BITC facilitation, and target regional markets through SACU and SADC

INVESTOR RISK NOTE

Botswana's risk profile is that of a well-governed, investment-grade economy working through a cyclical downturn in its main export. S&P cites a strong institutional framework, prudent management of natural-resource wealth and a comparatively low government debt burden as core strengths, and the economy has returned to growth in 2026 as diamond production has recovered. The main risks are continued weakness in diamond prices and slower-than-planned fiscal consolidation, which are reflected in the negative outlooks from S&P and Moody's. These are being addressed through a sharply lower 2026/27 deficit estimate, rebuilt foreign reserves, a long-term diamond agreement with De Beers and a diversification programme under NDP 12. Investors should build diamond-price and interest-rate scenarios into planning and take advice on citizen-reserved activities, while the absence of exchange controls and Botswana's record of stable democratic transitions, including the change of government in 2024, provide a solid foundation for long-term investment.

MARKET ACCESS

Botswana is a member of the Southern African Customs Union (SACU), giving duty-free access to South Africa, Namibia, Lesotho and Eswatini, and of the Southern African Development Community (SADC), and has been a WTO member since 1995. Its double-taxation treaty network covers South Africa, the UK, France, Sweden, Mauritius, Namibia, Zimbabwe and Russia. Diamonds, sold through Debswana's partnership with De Beers and through the Okavango Diamond Company, account for about 70% of exports, while copper is a growing second export stream. As a landlocked country, Botswana reaches the Atlantic through the Trans-Kalahari Corridor to Walvis Bay in Namibia, connects to Gauteng and Maputo by road and rail through South Africa, and links north to Zambia via the Kazungula Bridge, positioning Gaborone and Francistown as regional logistics and distribution hubs.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Duma Boko)	Sets national priorities, including economic diversification, mineral value chains, energy infrastructure, digital transformation and a competitive environment for foreign investment	Primary reference point for Botswana's strategic direction and the De Beers transition
Botswana Investment and Trade Centre (BITC)	National investment and export promotion agency, operating the One Stop Service Centre and IFSC accreditation	Standard first point of contact for market entry, accreditation and incentives
Bank of Botswana	Central bank; sets the policy rate, manages the pula exchange-rate mechanism and foreign reserves	Relevant for monetary conditions, currency and banking-sector matters
Ministry of Finance (Vice-President Ndaba Gaolathe)	Leads the budget, fiscal consolidation and government's role in the De Beers stake negotiations	Key counterpart for fiscal policy, public investment and state-shareholding matters
Debswana and the Okavango Diamond Company	Debswana is the 50:50 government–De Beers mining venture; the state-owned Okavango Diamond Company sells a rising share of its output	Essential partners for diamond-sector supply, services and beneficiation
Special Economic Zones Authority (SEZA)	Develops and manages the eight SEZs, including serviced plots at the airport zone	Route to zone-based incentives and land for manufacturing, agro-processing and

Actor	Why It Matters	Waverley Engagement Angle
	in Gaborone	logistics
Ministry of Trade and Entrepreneurship	Leads trade, industrial and enterprise policy	Relevant for trade agreements, licensing and local-participation rules

CURRENT INTERNATIONAL BUSINESS CHANNELS

BITC is the main facilitation channel and runs the Global Expo Botswana trade and investment fair, the Botswana Exporter Promotion Programme and the Botswana Trade Portal. Business Botswana, the national private-sector organisation, provides domestic business liaison. Major mining groups, including De Beers through Debswana, MMG at Khoemacau and Sandfire at Motheo, maintain a substantial in-country presence and are a useful source of practical intelligence on suppliers, skills and logistics. The IMF and World Bank are engaged on fiscal, financial-sector and business-environment reform, and De Beers' Diamonds for Development fund, of up to $750 million over ten years, is designed to support enterprise development outside diamond mining.

INVESTOR PROFILE BEST SUITED

Botswana suits long-term investors who value governance, an open capital account and investment-grade credentials: mining and mining-services companies targeting copper in the Kalahari Copper Belt and the diamond value chain; renewable-energy, power and water developers supporting new mines and SEZs; agribusiness and food-processing investors using the Pandamatenga and Lobatse zones and SACU market access; financial-services and business-process firms using IFSC incentives in Gaborone; and tourism investors in the sector that led FDI facilitated by BITC in 2025. Investors should factor in diamond-cycle exposure, local borrowing costs and citizen-participation rules in certain sectors.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage BITC and secure accreditation
Open dialogue with the Botswana Investment and Trade Centre to confirm sector priorities, accreditation and available incentives, including IFSC status for financial and cross-border activity.

STEP 2: Assess SEZ locations and incentives
Work with SEZA to match projects to the right zone, from financial services in Gaborone to agro-processing in Pandamatenga and energy in Palapye.

STEP 3: Map local-participation and licensing requirements
Take early legal advice on citizen-reserved activities, state-owned sectors and work permits, and identify suitable citizen-owned partners where needed.

STEP 4: Track the De Beers transition and diamond-market recovery
Follow the sale of De Beers, Botswana's stake and the rising Okavango Diamond Company share, and build diamond-price scenarios into planning for related investments.

STEP 5: Position for copper and diversification opportunities
Explore supply-chain, power, water and logistics opportunities linked to the Kalahari Copper Belt expansion and the NDP 12 priority sectors.